

APPLICATION: MISCONDUCT AND CORRUPTION



OUTLINE

INCENTIVES, MISCONDUCT AND CORRUPTION

OVERVIEW ON CORRUPTION

YOUR TASK: PREVENT AND EXPOSE CORRUPTION

APPENDIX

INCENTIVES, MISCONDUCT AND CORRUPTION

In previous lectures we discussed

- ▶ Multiple issues created by high-powered incentives
- ▶ Difficulty of designing incentives in bureaucracy

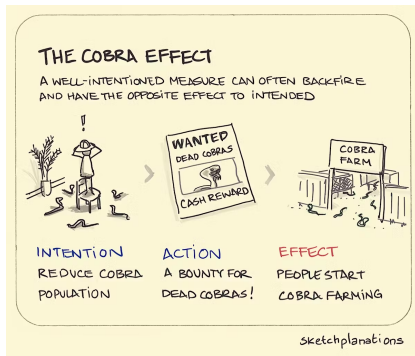
Today:

Improper incentive design can lead to misconduct and corruption

- ▶ Incentives may elicit wrong kinds of effort
- ▶ Nonlinear incentives may lead to distortion at the threshold
- ▶ Incentives may reduce performance on competing tasks

How can we fight corruption?

ELICITING WRONG KINDS OF EFFORTS

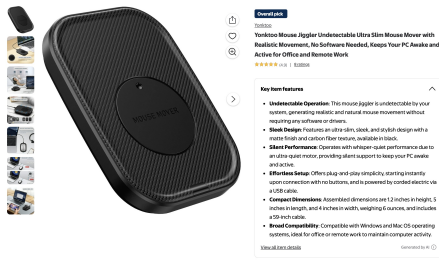


Two ways to deliver a dead cobra:

- ▶ Catch a wild one
- ▶ Breed your own

People will use the way that is cheaper or easier

EXAMPLE: MOUSE JIGGLER FOR WFH



Two ways to show your boss that you are working from home:

- ▶ Actually working (typing, moving mouse etc)
- ▶ Using a mouse jiggle

EXAMPLE: REPORT CARDS IN HEALTHCARE

To incentivize good performance, countries sometimes introduce “performance cards” which provide information about the performance of hospitals and physicians

- ▶ Mortality rates
- ▶ Success rate for certain surgeries

Two ways to obtain high score:

- ▶ Exert effort
- ▶ Treat only healthier patients

EXAMPLE: REPORT CARDS IN HEALTHCARE

Dranove, Kessler, McClellan, Satterthwaite, *Journal of Political Economy* 2003:

Mandatory reporting mechanisms inevitably give providers the incentive to decline to treat more difficult and complicated patients. Doctors and hospitals likely have more detailed information about patient's health than can the developer of a report card, allowing them to choose to treat unobservably (to the analyst) healthier patients.

TAKING STOCK

Incentives are often tied not to effort but to a measure of effort

There may be many ways to increase that measure

Some are via the effort (actions) that the principal cares about

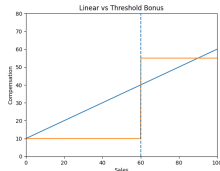
Some are via effort she **does not care or actively dislikes**

People have tendency to engaging in the latter if these are easier or cheaper and they are not intrinsically motivated

SPECIAL CASE: NONLINEAR INCENTIVES AND THRESHOLD EFFECTS

Nonlinear incentive schemes: fixed bonus paid only if performance above certain threshold

- ▶ Example: promotion upon hitting a pre-specified target
- ▶ Simple hence very popular
- ▶ Introduces additional distortions



For example, teachers receiving bonuses for the fraction of students scoring above certain threshold:

- ▶ Have incentive to work hard with marginal students
- ▶ Divert effort away from very underperforming and highly performing students
- ▶ Have strong incentives to cheat (**cobra effect**)

EXAMPLE: WORKPLACE SAFETY AND PROMOTION IN CHINA

In 2004, State Administration of Work Safety established a program to motivate Chinese bureaucrats to reduce accidental (mostly work-related) deaths

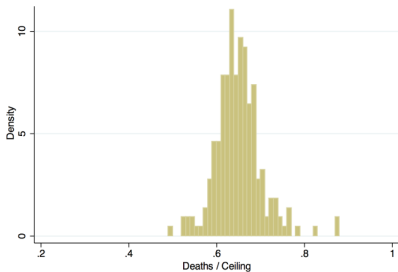
It established targets for accidental deaths (“death ceilings”) above which government officials’ promotions were jeopardized

Aggregate data suggests that the policy was a big success

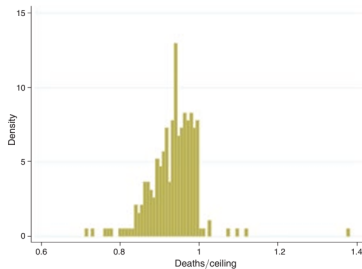
- ▶ Deaths fell by about 45% between 2005 and 2012 (8% annual decline)

Disaggregate data paints a more complicated picture...

COMPLIANCE WITH DEATH CEILING: TOO GOOD TO BE TRUE?



(A) THIRD QUARTER



(B) END OF YEAR

Source: Fisman and Wang (2017)

COMPETING TASKS

Consider control of fraud by a manager

- ▶ Tasked with preventing fraud ex ante
- ▶ Tasked with uncovering and disclosing fraud ex post

These tasks are **competing**:

- ▶ Paying for number of disclosed fraud cases decreases incentives to prevent it
- ▶ Paying for lack of fraud decreases incentives to uncover it

This is an extreme case of **multitasking**: not only one task cannot be incentivized, incentivizing one task means **disincentivizing the other task**

SEPARATE COMPETING TASKS

Frequently the same department is tasked with development of an intervention and its assessment:

- ▶ HR departments task with developing training programs and evaluating them

This leads to distortions

Good practice is to **split these tasks**:

- ▶ US government often uses independent evaluators for its programs
- ▶ When regulating natural monopolies, different agencies are tasked with ensuring low costs and good environmental performance

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WHAT IS CORRUPTION?

Corruption is the abuse of entrusted power for private gain

Examples

- ▶ Public employees taking bribes in exchange for services
- ▶ Elected officials giving contracts or jobs to their relatives
- ▶ Doctor taking bribes to prioritize some patients over others

Public corruption is the abuse of public office for private gain

CHICAGO AND IL ARE OFTEN RANKED AS SOME OF THE MOST CORRUPT PLACES IN THE US

After guilty verdict, Mike Madigan joins culture of corruption swirling since 1980s in IL politics

By Barb Markoff, Christine Tressel and Tom Jones and [Mark Rivera](#)

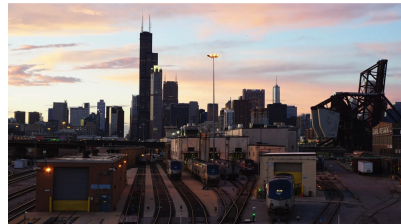
Wednesday, February 12, 2025



After a guilty verdict, Mike Madigan joins a culture of corruption swirling since the 1980s in Chicago and Illinois politics.

Four-Peat: Chicago Ranks No. 1 In Corruption, Report Finds

Heather Cherone | November 3, 2023, 8:41 am



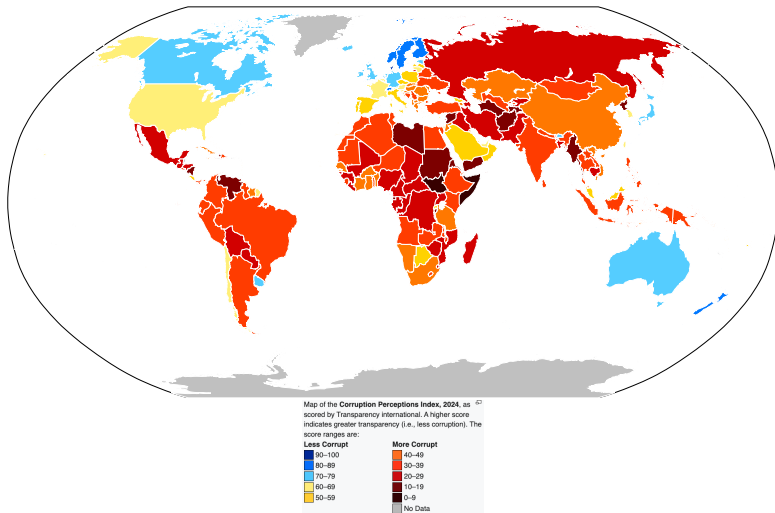
(GeorgeCK / Pixabay)

For the fourth year in a row, Chicago is America's most corrupt city, and Illinois is the third-most corrupt state, according to a new report from the University of Illinois at Chicago.

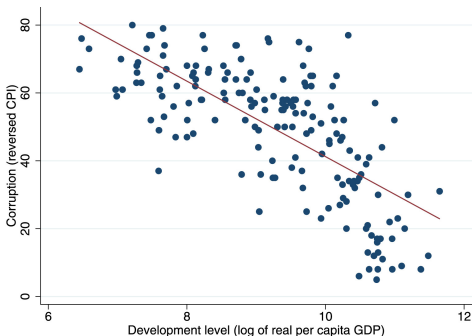
How can we assess whether Chicago is no. 1 in corruption?

PERCEPTIONS OF PUBLIC CORRUPTION

Index of perceived levels of public sector corruption, as assessed by experts and business executives



CORRUPTION INDEX IS NEGATIVELY CORRELATED WITH ECONOMIC GROWTH



Gründler & Potrafke (2019)

Data from 175 countries
from 2012 to 2018

Specifications with time-
and country-fixed effects

Results: Strong
association between
corruption and growth

Causal?

WHAT IS THE COST OF CORRUPTION?

Because it is difficult to measure corruption, it is difficult to quantify its costs

Surveys suggest that one in four people worldwide paid a bribe to access a public service in the last 12 months

United Nations and World Economic Forum have estimated the global cost of corruption at 5% of the world's GDP

TAKING STOCK

Corruption is hard to measure

Corruption seems to have negative economic consequences

WHAT FACTORS AFFECT THE VARIATION IN PUBLIC CORRUPTION?

Many concepts we learned in AP may affect corruption:

- ▶ Size of winning coalitions
- ▶ Accountability and selection of leaders
- ▶ Information/monitoring/media
- ▶ Veto players/institutional constraints on leaders

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HOW TO PREVENT AND EXPOSE CORRUPTION?

You are working for the central government in a country affected by widespread public corruption

Fighting corruption is a top priority for the elected president, and he has asked you to lead an anticorruption task force

The president wants you to address the problem of bribes taken by civil servants

HOW WOULD YOU FIGHT THE BRIBERY OF CIVIL SERVANTS?

President's proposal: Make it easier for the president to fire bureaucrats suspected of corruption by reducing employment protections

Evaluate the impact on corruption of this proposal

How will the proposed policies affect **selection and incentives** of civil servants to engage in corruption?

Discuss relevant tradeoffs but come up with a recommendation

IMPORTANT CONSIDERATIONS FOR PROPOSED REFORMS

Proposal: Making it easier for the president to fire bureaucrats suspected of corruption by reducing employment protections

- ▶ May improve incentives for non-corrupt behavior
- ▶ Makes it easier to remove those likely to be corrupt
- ▶ Leader cannot credibly commit to not firing bureaucrats for other reasons
 - ▶ Makes job risky and hence less attractive
 - ▶ Especially for those intrinsically motivated **not** to engage in corruption
 - ▶ Discretionary selection of bureaucrats may lead to patronage

HOW WOULD YOU ORGANIZE THE NEW ANTICORRUPTION AGENCY?

Your task is to set up a new agency with the goal of

- ▶ Preventing bribery in public procurement in the future
- ▶ Exposing bribery of public officials when it does occur

How would you organize the new anticorruption agency?

- ▶ Reporting to the president or the legislature?
- ▶ Separate agency or part of the government? One agency vs two agencies?
- ▶ How to set up incentives of the agents working in this agency? What should the compensation be?

Discuss relevant tradeoffs but come up with a recommendation

IMPORTANT CONSIDERATIONS WHEN ORGANIZING THE ANTICORRUPTION AGENCY

Organizational accountability

- ▶ If president is serious about fighting corruption, reporting to president increases incentives to fight corruption
- ▶ Reporting to legislature may be safer in general as legislature as a whole is less likely to be uniformly corrupt—but this does not seem to be the case here
- ▶ Independence and appointment of someone with strong anti-corrupt reputation may be best (similar to central bank)

IMPORTANT CONSIDERATIONS WHEN ORGANIZING THE ANTICORRUPTION AGENCY

Separate, One vs Two agencies

- ▶ A separate agency with a clearly defined goal may attract employees who are intrinsically motivated toward that goal
- ▶ Competing tasks problem (prevent and expose bribery) → split tasks into multiple units

IMPORTANT CONSIDERATIONS WHEN ORGANIZING THE ANTICORRUPTION AGENCY

Compensation of employees

- ▶ High powered incentives for uncovering cases of corruption increase effort
- ▶ But may backfire (cobra effect)
- ▶ So perhaps subjective evaluations are better than tying compensation to particular measures of performance
- ▶ You want the agents not to engage in corruption themselves: they need to value the job sufficiently strongly to be afraid to lose it
 - ▶ Overall compensation should be reasonably high

EXAMPLE: ICAC OF HONG KONG

Widespread corruption in Hong Kong in 1960s

- ▶ Population growth outpaced public service
- ▶ The pay of civil servants was very low
- ▶ Virtually all public services had to be obtained with bribes

Hong Kong Police Force, one of the most corrupt agencies, was responsible for anti-corruption

Chief Superintendent Peter Godber escaped to UK in 1973 while under anti-corruption investigation, triggering massive public discontent

Independent Commission Against Corruption formed in 1974

STRUCTURES AND INCENTIVES IN ICAC

Independent agency directly accountable to the Governor/Chief Executive of Hong Kong

Four **subunits** for competing tasks:

- ▶ Operations (Law enforcement)
- ▶ Corruption Prevention (Prevention)
- ▶ Community Relations (Education)
- ▶ International Cooperation

Employees get **compensated** generously

Promotions based on subjective evaluations



KEY POINTS

Corruption is hard to measure, expose and prevent in any political system

Improper incentive designs in bureaucracies can aggravate corruption

Institutions may mitigate public corruption, but they themselves requires careful design to be effective

Think carefully about how anticorruption efforts affect both selection and incentives of public officials

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A FORMALIZATION OF COBRA EFFECT

- ▶ Two types of effort e_1 and e_2
- ▶ Principal values output $y = e_1 + luck$
- ▶ Observes only performance measure $\hat{y} = e_1 + e_2 + luck$
- ▶ e_2 can be interpreting as cheating
- ▶ Suppose e_1 is costly but e_2 is not
- ▶ Agent will only exert e_2 !
- ▶ Things are even worse if e_2 harms the principal

Incentives should be weaker when cheating is harmful and easier

A FORMALIZATION OF COMPETING TASKS

Performance measure

$$y = e_1 - e_2$$

Agent chooses e_1 and e_2 to maximize expected payoff

$$s + b(e_1 - e_2) - \alpha e_1 - \alpha e_2$$

For any $b > 0$, payoff decreases in e_2

Incentivizing one task disincentivizes the other task

Solution: split tasks into separate jobs

If impossible, do not incentivize any effort

THE PRESIDENT IGNORES YOUR COMMENTS AND IMPLEMENTS HIS POLICY PROPOSALS

Regardless of your recommendation, the president implements his own policy proposals, making it easier to fire civil servants suspected of corruption

- ▶ What might motivate his decisions?

He is also adamant that you have to implement more initiatives to prevent and expose bribery

- ▶ What might motivate his decisions?

IMPORTANT POLITICAL CONSIDERATIONS WHEN YOU MAKE POLICY RECOMMENDATIONS

Your policy recommendations is part of a bigger political game

Sometimes leaders will ignore or follow your policy advice because doing so is politically optimal for them

Why is president ignoring your recommendations?

- ▶ Maybe they want to fire civil servants because he wants to hire more politically aligned employees
- ▶ Maybe you are asked to set up the agency so leader can pander to voters' beliefs about public corruption
- ▶ Maybe they want to use the new agency to prosecute and weaken politicians from opposition parties